

Sunk Cost Effect

What is it?

People keep investing in something just because they've already spent time, money, or effort on it — even when it's no longer worth continuing.

For example, you sit through a bad movie at the cinema simply because you paid for the ticket.

History

The term “Sunk Cost Effect” was first introduced in **1979** by economists **Richard Thaler** and **Daniel Kahneman**, who studied how people irrationally base future decisions on past investments. It's a key concept in **behavioral economics** that explains why people struggle to walk away from failing products, projects, or commitments.

The Psychology Behind It

Humans have a strong *loss aversion* bias — we hate feeling like we've wasted effort or resources.

This makes us double down on bad choices just to justify our earlier decisions.

In UX, this appears when users continue using an app or feature they no longer enjoy simply because they've already spent time setting it up or learning it.

Why It Matters

- Leads to poor decision-making
- Increases frustration and churn
- Reduces trust and long-term loyalty
- Wastes user and company resources
- Creates negative brand perception

How to Apply It

- **Reduce exit guilt** – Eg: Offer easy cancellations or returns.
- **Encourage reflection** – Eg: Remind users they can restart or change direction.
- **Reward fresh starts** – Eg: Incentivize trying new features instead of sticking to old ones.
- **Provide safety nets** – Eg: Trial periods, undo options, or save progress features.
- **Be transparent** – Eg: Show time saved or effort reduced by switching choices.

Theory in Action

- **Amazon's** hassle-free return policy helps customers reverse poor purchase decisions without guilt.

- **Fitness apps** encourage “restart” milestones, helping users re-engage without shame for breaks.
- **Gym memberships** often exploit this bias, as people keep paying even when they rarely attend, believing they’ll eventually return.

Final Thought

The sunk cost effect traps users in old decisions.

Designs that make it easy to let go — without guilt or friction — empower people to make smarter, more positive choices that strengthen trust in your product.